

Segment 4 : Business Policy and Decision Making

Topic 3 : Framing Business Policy

Topic 4 : Implementation of Policy and Decision Making

Table of Contents:

2.1	Introduction
	Learning Objectives
2.2	Concept of Business Policy
	Features of Business Policy
2.3	Factors Considered before Framing Business Policy
2.4	Steps Involved in Framing Business Policy
2.5	Policy Cycle and its Stages
2.6	Implementation of Policy Change
	Levels of Change
	Sources of Policy Change
2.7	Role of Policies in Strategic Management
2.8	Business Policy and Decision Making
2.9	Summary
2.10	Glossary
2.11	Case Study

2.1 Introduction

This unit will cover business policy's different concepts and aspects and its uses in decision making. As a business grows, the business environment also changes. Thus, the need for framing business policy also arises. A clear business policy brings clarity to conducting daily business activities. Managers need not refer to senior management for important decisions and can refer to established business policies to address employee queries and concerns.

You will also learn about the factors to be considered before framing business policies, the process of framing business policies and the steps involved. The key steps include the identification of the situation problem definition and policy recommendation. After that, a policy proposal is made, developed and disseminated. After that, a policy must be explained, approved, implemented, and reviewed.

When framed precisely, business policies allow lower and middle-level managers – in direct contact with customers- to deal with issues efficiently. Business policies also define the premises within which decisions should be made. It involves assessing and outlining the roles and responsibilities of all employees. It takes into account decisions framed by top management that will directly impact the organisation and take it forward. At the end of this unit, you will also learn about the role of policy in strategic management and decision making.

Learning Objectives

After studying this chapter, you will be able to:

- Discuss the factors which should be considered before framing policies
- Explain how policies are framed
- Describe the Policy Cycle and its stages
- Explain the role of policy in strategic management and decision making

2.2 Concept of Business Policy

Before learning about business policy, let's look at these terms closely.

Business:

Business is the foundation of modern life. It is the most important economic activity in any society. A business is defined as an organisation or firm engaged in commercial, professional, industrial, and economic activities to earn profit.

Policy:

A policy is a statement of purpose and a defined scope within which a company can function. Policies are generally approved by the Board of Directors or the top management. Subjective and objective decision-making can be conducted within the boundaries set by a policy.

Business Policy:

Business policy is a guide that helps to achieve the predetermined goals of an organisation. The nature and purpose of a business policy are both drafted and determined by a business's stakeholders. Once established, the policy decisions shape the future of a company, using the available resources and directing them to perform to achieve organisational goals. A business policy means the selection of objectives, positioning a business and outlining its character, and helping to acquire the required resources to achieve business objectives. For a company, the goal is the end, while a policy is the means and ways of achieving those goals.

Working within a business policy, decisions are made by the senior management after a careful analysis of the organisation's strengths and weaknesses. This analysis is in terms of product value, quality, leadership position, resources, etc.

The purpose of a business policy is to enable managers to align an organisation's work with its environment. By setting the scope, business policies are meant to channelise the decision making and thought process in an organisation. It also facilitates the middle and lower-level of management to deal with problems and issues without consulting senior management on a regular basis for every issue.

Business policies are guidelines established by an organisation to manage its operations. They lay down the limits within which decisions should be made. Business policy explores the roles and responsibilities of top management, key issues affecting an organisation and guides decision making.

Example

3M

Once known as the Minnesota Mining and Manufacturing Company, 3M works with clients in the healthcare, consumer products, automotive, manufacturing, electronics, and safety industries.

Remote work plans: The **Work Your Way** plan lets employees create a work schedule that helps them do their best work from wherever they want, whenever they want.

2.2.1 Features of Business Policy

A clear and well-designed business policy should have the following features: It should be specific and precise. This is critical because if a policy is vague, it will not serve its purpose of guiding managers in making decisions. Top management should take care of any ambiguity in a policy.

- It should be reliable. It will be the basis of several decisions made in the future by hundreds of employees.
- It should be appropriate and stay relevant to the business environment.
- It should be flexible and open to change. There should be scope for change in a policy, as and when required so that the managers can continue to refer to it.

A policy should be future-oriented, as it is meant to guide an organisation forward.

2.3 Factors Considered Before Framing Business Policy

For the successful formulation of a policy, the following factors should be considered:

- A. Relationships with Organisational Goals:** There should be a clear correlation between organisational goals and business policies. In other words, before framing policies, the reason that is the core organisational objectives for which the organisation has been established should be focused upon.
- B. Easy to Understand:** A policy needs to be clearly stated and should be understood by all. Clarity is the essence of a good policy. If the policies

are clearly stated, then personal biases and opinions will not affect decision-making.

- C. **Written and Documented:** A policy should be written in order to be integrated into the business system as a policy manual. According to Henry Carl, a policy will not be functional until it is in written form.
- D. **Stable and Flexible:** A policy needs to be stable but not rigid. Stable policies promote self-confidence among employees, customers, vendors, and others. However, policies must be changed or altered in keeping with the changing business environment.
- E. **Compatibility within Company:** All policies in the workplace should go hand in hand with different functional policies. For example, the production policy and purchase policy must be compatible.

2.4 Steps Involved in Framing Business Policies

Top management of a company lays down the business policy for an organisation to follow. Policy development includes the following steps:

1. **Identification of Situation:** Policy planning is a complex process that requires expert guidance. Policies are needed to reflect a company's image. The first step in the framing of business policies is to understand the business environment.
2. **Problem Definition:** This important step in policy-making involves identifying problems for a business and determining the need for framing a policy. Line managers identify problems in their departments. And convey to the top management. After further consultation, different alternatives are analysed to determine the needs of the policy finally.
3. **Policy Recommendation:** The next step is to issue recommendations that can address the needs of an organisation. This depends on the level at which the policies are formulated. The management has to choose from the suggestions and alternatives given. The most suitable proposals are selected and recommended.
4. **Policy Proposal:** After the recommendation is made, it is presented to the department heads. They, in turn, can make changes, if required to meet the company objectives. Framed policies are based on guidelines provided by overall business policies.
5. **Policy Development:** The draft of the policy is discussed with all concerned managers and employees who would be expected to work with

that. The aim here is to have constructive criticism and suggestions to frame a constructive policy. This process helps create sound policies developed after detailed discussions.

6. **Dissemination of the Policy:** Once policies are formulated, these need to be conveyed to those who would be implementing them. For this purpose, publicity material may be required. Sometimes, a policy is issued orally or at meetings and seminars.
7. **Explanation of the Policy:** Once policies are disseminated, the next most important thing is to explain the details of the policy—especially its impact on people and business and its overall objective.
8. **Policy Approval:** Before the adoption of a policy, employees involved in its implementation need to understand the basic principles and operating rules of the policy. Once a policy is rolled out, questions will arise. These questions need to be addressed by the top management. After all the deliberations, a policy is approved.
9. **Policy Implementation:** The next step is to implement the policy. The Managing Director or the CEO of an organisation is ultimately responsible for the implementation of the policy.
10. **Policy Review:** The most important task is to review a policy at regular intervals. There should be an ongoing review of policies. This helps in assessing if the policy worked well in the areas where it was intended to be. Continuous feedback, comments, complaints, responses, and suggestions should be received from people entrusted with the policy implementation.

2.5 Policy Cycle and Its Stages

We saw how a policy is the definite course of action selected by an organisation from all the available alternatives to guide its decisions. A Policy Cycle is a method used to analyse the entire development of a policy, right from its formulation to implementation and maintenance. We saw that policy framing includes 10 detailed steps, whereas, in the policy cycle, it is about the life of the policy.

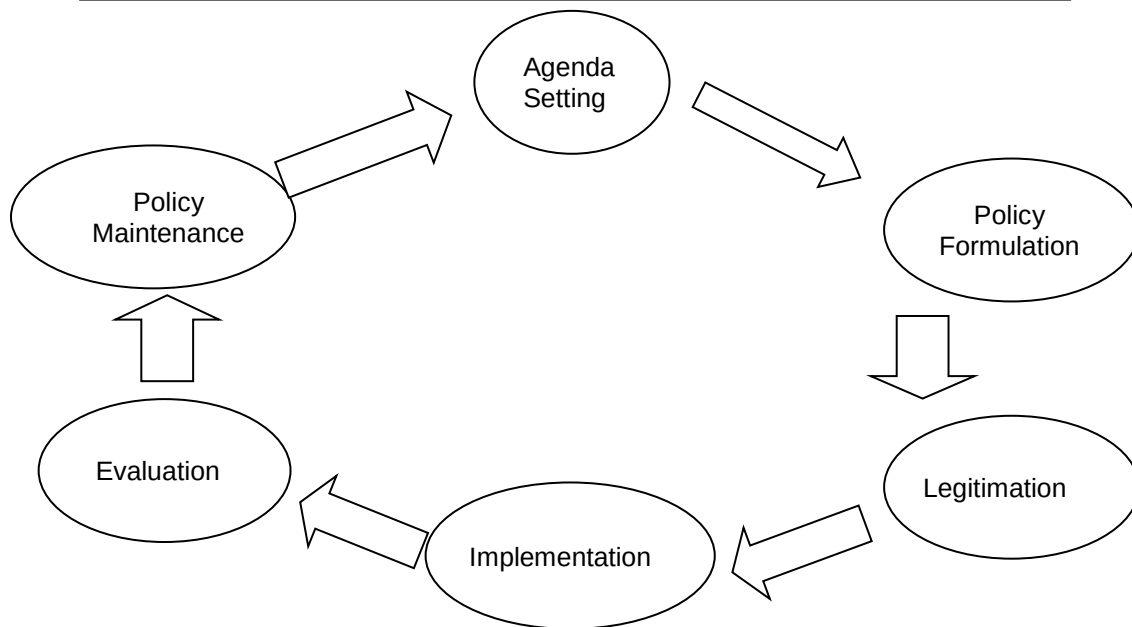


Fig 1: A Policy Cycle

The cycle divides the policy making process into several stages. It starts right at the beginning stage, where policymakers and strategists think about a particular problem or issue. It ends with its implementation and review. Policy formulation is a regular and continuous process and not a single event.

- A. Agenda Setting:** An organisation faces many issues which require management to address these immediately. Policymakers should consider these concerns on an urgent basis. Framing of a policy begins by explaining and identifying these problems.
- B. Policy Formulation:** Once a problem is identified, efforts are made to address the problem by formulating appropriate policies. As objectives are set and identified, it makes it easier for those who will implement the policy to understand the reason and purpose of a policy's formation. It is important to determine the commercial feasibility.
- C. Legitimation:** It is not enough to make the best policy. Getting it approved by those who will use it is equally important. This is a challenge for policymakers, that of getting organisational support.
- D. Implementation:** After informing all stakeholders about the newly-framed policy and obtaining approvals, the next step is to implement the policy. This is a critical issue. All resources, such as money, equipment,

operational capacity, financial legal framework, etc., should be made available for implementation.

- E. Evaluation:** Once a policy is operational, knowing if it has achieved the desired results becomes important. A review is required to know how well the policy has performed.
- F. Policy Maintenance:** If a policy fails to provide the desired result, appropriate modifications must be made. However, sometimes, if a policy does not meet the requirements of an organisation, the policy may need to be discontinued.

2.6 Implementation of Policy Change

Just as change is a big part of our lives and constant in nature, so it is with the company. This change could be in the internal or external environment of an organisation. Examples are: changes in machinery, technology, political and social factors, or organisational policies.

Change refers to any variation in organisational performance. It is essential for the survival and growth of any organisation. A company would like to change its equipment or machinery due to the development of new technology. Today, change is evident in every functional area of an organisation. There are changes to ownership or company control, in management, flow of funds, to name a few. Any change creates anxiety. Invariably, employees resist change during any transition -- even if it benefits all subsequently.

2.6.1 Types of Change

A change in an organisation can be of various types.

- A. Knowledge Change:** A change in knowledge is gained through education and a learning process. It could also be because of the experience gained in their lives. In an organisation, employees' behaviour or way of doing things change with experience, knowledge shared, and training enhancement.
- B. Opinion Change:** Changes can come about in the attitude of employees. This attitudinal change could be positive or negative. In an organisation, a change of attitude can happen due to several reasons related to organisational environment, culture, and objectives.

- C. Behavioural Change:** This change is brought about by a change in human behaviour. It is difficult to notice such a change in the short term. But as employees work, behavioural change is depicted in their performance.
- D. Organisational Transformation:** With changes in company policies, organisations also get transformed. This change is reflected in the style of working and in the overall work culture.

2.6.2 Sources of Policy Change

Internal and external factors influence an organisation's business policies, which are very powerful. Today, technology is the major source of change. It is opening up new opportunities for a business and deeply impacting business strategies.

However, the incentive for change in existing policies can come from various sources. These are:

- A. Changing Customer Needs:** The demand for products is not static. Customer expectations keep changing. This changing nature of customer demand can be best understood by studying a product's lifecycle. Lifecycles of different products vary greatly. For example, a Tape Recorder had a short life cycle. On the other hand, other products, such as soaps, have been around since Victorian times.
- B. Resolving Issues:** Problems affecting organisations can be political, economic, technological, and social. Management needs to introduce changes in functioning in order to address these concerns. Sometimes the solution to a problem requires extensive research and redevelopment of a product.
- C. For Improving Efficiency:** No organisation can survive without improving its productivity and efficiency. This may be required to increase falling profits and may require some change in policy. In the face of continuous improvement, organisations must change their policy to utilise all the opportunities better.

2.7 Role of Policies in Strategic Management

A policy refers to specific guidelines, procedures, rules, forms, and management systems established to support and promote organisational goals. Policies empower and ease the decision-making process by providing clear guidelines.

Policies are an important tool in strategic decision-making. Policies also help avoid conflicts of action by encouraging uniform thinking and handling similar situations. Being in a written form, policies reduce ambiguity in tackling business issues.

Policies are designed to guide managers in creating strategies to meet business objectives. Policies serve as guidelines for managers in implementing business strategies. A policy lays down practices that support strategies. It helps to guide strategic planning and execution.

- Policies contribute to the development of processes across organisations, even an industry.
- A policy reduces uncertainty in the recurring activities of an organisation. It reflects a company's beliefs and ideas in relation to daily activities.
- It reduces individual decisions and choices and ensures uniformity in decision making.
- A policy helps create a balance between corporate culture and strategy, allowing effective policy implementation.
- Policies help create a working environment. It interprets a company's philosophy of how things should be done and how people should be treated.
- It helps avoid conflict by aligning actions and activities.

2.8 Business Policy and Decision Making

Policies help put goals into action. Business policies direct corporate thinking and performance. Thus, policies cover the whole business spectrum – from internal capabilities to the market environment – and serve as a guide for making decisions in the following ways:

- A. Saves Time:** Policies are a precedent to managers' and employees' decision-making at all levels. Since these guidelines help lower-level management to deal with issues without consulting their seniors, policies help save precious time.

- B. Clarity and Coordination:** As policies are written and communicated to all, these bring clarity and integrity within the entire organisation. This, in turn, also leads to departmental collaboration and coordination.
- C. Stability and Confidence:** Policies bring stability to an organisation and instil confidence among employees. Policies are framed for the long run and help focus on organisational goals.
- D. Concrete Decisions:** When policies are clearly defined, it encourages managers to make concrete decisions as they have a clear understanding of the scope of their decisions.
- E. Performance Evaluation:** Policies guide in following company goals and objectives. Policies serve as standards to compare and evaluate organisational performance.
- F. Loyalty and Justice:** When policies are based on strong fundamentals, they instil confidence among employees. They remain more loyal to a company, especially when a policy advocates the principle of equality and justice.
- G. Excelling Employees:** When policies are managed and implemented efficiently, employees feel a sense of ownership and are willing to give their best.
- H. Image Building:** Business policies build the image of a company. A good image and reputation ensure a large and loyal customer base and improve sales and profitability.
- I. Improving Efficiency:** Clarity of policies, their relevance, and understanding enables the efficient use of company resources. This improves the efficiency and productivity of an organisation.
- J. Regulatory Guidelines:** Policies serve as regulatory guidelines for decision-making. This ensures consistency and uniformity in the process of making decisions across all levels in an organisation, especially for recurring issues

2.9 Summary

Let us recapitulate the important concepts discussed in this topic:

- Every organisation has its unique way in which it operates and performs activities. If business policies are not framed clearly, it may create several issues within organisations and for customers. This can hamper the performance of the organisation.

- A business policy is a set of rules and regulations framed by the top management of a company. A business policy should be clear, specific, uniform, simple, appropriate, and stable.
- The steps involved in framing business policies are Situation analysis, Problem identification, and Policy recommendation. Followed by Policy proposal, Development, Dissemination, Explanation, Approval, Implementation and Review.
- A policy cycle is a method used to analyse the development of policy framing. It consists of: Agenda-setting, Policy formulation, Legitimation, Implementation, Evaluation and Maintenance.
- A business policy is influenced by internal and external factors, which are very powerful in nature. Technology is the most advanced source of change. New opportunities for profitable exploitation of technology affect business strategies. Organisations often redefine their goals and policies to benefit in the marketplace, create new products and services, change working styles, and find new resources.
- Policies are required in the implementation of business strategies as a policy is a guideline for decision making which links the formulation of the strategy to its implementation.

2.10 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Business Environment:** The term business environment refers to the combined value of all individuals, organisations and other forces outside the power of the organisation but which may affect its productivity. The environment comprises individual customers and other factors such as technological, financial, cultural, economic, and competitors, which can affect the business directly or indirectly.
- **Competitive Advantage:** Competitive advantage refers to those factors which give an organisation an edge over its competitors. Advantages that allow a company to produce goods or services better or cheaper than its competitors. These factors allow a manufacturing business to make more sales compared to its market competitors.

- **Dissemination:** Dissemination is the act of spreading or circulating any information, news etc.
- **Ethics:** It is the belief about what is morally correct or acceptable.
- **Operations:** Operations are the business activities a company performs to convert raw materials into finished products or services, sell them to customers, and make a profit.

2.11 Case Study

Matching Plans and Policies at Rane Group

The Deming Application Prize is considered the most prestigious award for excellence in quality management. Many Indian companies have won the prize, Sundaram Clayton being the first. However, three companies in the same business group winning the prize is a remarkable achievement. The Chennai-based Rane group is the proud recipient of the Deming Prize thrice. Two years after Rane Brake Linings won the prize in 2003, two other group companies -- Rane Engine Valves and Rane Steering Systems -- achieved the honouring in 2005.

The Beginning: Sometime in 1999, S. Sundar Ram, president of Rane Brake Linings, realised the critical importance of quality as a competitive tool in a changing world where global competition would prevail. Probably, spurred by rival Sundaram Clayton's success, Ram decided to focus on the approach of Total Quality Management (TQM) as the means to achieve strategic success.

The Rane group, consisting of eight companies founded in 1929, manufactures auto components like steering and suspension systems, seat belts, valves, valve guides and tappets. Rane Brake Linings, a member of the Rane Group of Companies set up in 1964, is an ISO 9001 and 14001 company. It has factories in Chennai, Hyderabad. and Pondicherry, manufacturing asbestos and asbestos-free brake lining, clutch facings, disc pads, and railway brake blocks.

Typical for a family business group, Rane Brake was a top-driven company. The CEO would formulate the strategic plan, and the managers would implement it. However, the implementation of TQM required decentralisation of management, as well as an open leadership style.

Changing through Policies: The implementation of TQM focused on a certain element, such as customer focus, standardisation of processes, fact-based decision making, policy deployment to align corporate goals with employee responsibilities, and total employee involvement. The implementation plan also called for organisational support and behavioural interventions, such as quality circles and discussion groups.

An apex team comprising all the company presidents and total quality (TQ) coordinators, besides group-wise TQ coordinators, was set up. This team would go to a company location every month and spend the day auditing the work done and charting out future progress. Quality circles and discussion groups proved invaluable in employee empowerment and employee ownership. Suggestions emanating from these groups helped make continual improvements in various aspects of the production system.

A Modern Company: Today, research and development is a thrust area at this consummate manufacturing company. There is a dedicated facility for new product development for critical applications, including aerospace. The design centre has computer-aided design and sophisticated test equipment. Products go through comprehensive testing and validation in modern test facilities. The company attempts to continually update in line with evolving customer demand.

The Rane group companies plan to improve their lean manufacturing systems using the Toyota production system, which focuses on eliminating all kinds of wastage and pushing export sales. The group has technology collaborations with TRW Automotive of the US and NSK, and Nisshinbo of Japan.

The outcome of changes in production plans and policies have been in terms of improved teamwork, energetic and motivated employees, and improved organisational alignment.

Source: http://www.domain-b.com/companies/companies_r/rane_brake-linings/20031223_deming.html

Two examples of external variables that influence business policy are ____ and ____.

Ans: Political or governmental policies, International environment, Economic forces (Any two)

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